CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E5DD06591
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

From: Phillip M Love <phillip.love@enron.com>
Sent: Mon, 5 Feb 2001 07:09:00 -0800 (PST)
To: Jennifer Lee <jennifer.lee@enron.com>
Subject: Re: Sithe Independence -- 400 MW Turndown for January 2001

FYI, you may see some January/February OA variances on Sithe due to these tagg numbers. The sitara deal number involved is 543246. Shout with any questions.
PL

---------- Forwarded by Phillip M Love/HOU/ECT on 02/05/2001 03:06 PM ----------

Phillip M Love
02/05/2001 03:08 PM
To: Ruth Concannon/HOU/ECT@ECT
cc: Jeffrey C Gossett/HOU/ECT@ECT, Diane H Cook/HOU/ECT@ECT, Kam Keiser/HOU/ECT@ECT
Subject: Re: Sithe Independence -- 400 MW Turndown for January 2001

Ruth, I wanted to give you the details of how we placed these numbers in Sithe's P&L.

1. Instead of reducing the purchase price in Sitara(we would capture this revenue in the P&L in two months with OA, we want to complete the transaction in the current P&L) we have written a physical annuity between ENA and Sithe Power QP7914.2. Please settle this with January's physical purchase.
2. Sithe then receives 50% of this incremental revenue, this was booked in a financial annuity QP7914.1, this should also be settled with January's invoices.
3. We have placed the Power portion of the revenue in Schedule B in the FT-Ontario book(this is due to the Sithe P&L limitations, we will be modifying the book set up for any future deals such as this). A financial annuity was then written between Sithe and Ontario to recognize the schedule B item in the sithe book and keep Ontario flat(TAGG#QP7914.3).
4. The final $550,919 was then granted out to you via origination from the FT-Ontario book(same reasons as above) and an annuity was then written to the FT-Ontario book to keep it flat.(TAGG#QP7914.4).

These four deals in TAGG will keep the sithe book flat and should accomplish the goals of your email below. If you have any questions or concerns, please feel free to contact me at 3-7376. Thanks.
PL

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Enron North America Corp.

From: Kam Keiser 02/05/2001 01:00 PM

To: Phillip M Love/HOU/ECT@ECT
cc:
Subject: Sithe Independence -- 400 MW Turndown for January 2001

---------- Forwarded by Kam Keiser/HOU/ECT on 02/05/2001 01:05 PM ----------

Enron North America Corp.

From: Ruth Concannon 02/05/2001 11:56 AM

To: Kam Keiser/HOU/ECT@ECT
cc: Jeffrey C Gossett/HOU/ECT@ECT, Diane H Cook/HOU/ECT@ECT
Subject: Sithe Independence -- 400 MW Turndown for January 2001

Kam--

There was a typo for the gas volume that was used in Stacey's worksheet to calculate the gas price. The original spreadsheet had 11,240 Dth/day and a gas price of $11.126/ Dth. When you use the correct volume of 22,263 Dth/day, the gas price drops to $5.6172 for Day 1 in the attached file. This corrects the double-counting I told you about this morning.

The spreadheets you sent to me calculate the power keep whole expense on the "Gas Price" sheet. On the sheet, it is the sum of $3,880,560 (i.e. the correct
number if Day 31 is actualized rather than estimated by the power curves).

Unfortunately, Stacey's calculation does not include the transport commodity savings, the tax expense and the amount of sharing due Sithe. Those numbers were provided in my memo on Friday. If we do one of these deals again, we can provide Stacey with the additional expenses and revenues so that it can be perfect calculation.

Call me if there are any questions,

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Ruth

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